



Macquarie Asset Management led consortium - Qube

MN-10007

Phase 1 Determination

Acquisition may be put into effect

17 June 2026

1. Determination

Notified acquisition	A consortium comprising funds managed by Macquarie Asset Management (MAM) and co-investors' (together, the Rubik Consortium) proposed acquisition of 100% of the issued share capital of Qube Holdings Limited (Qube) (together, the Parties) by way of scheme of arrangement (the Acquisition). The Rubik Consortium, through a series of Special Purpose Vehicles (SPVs), is to invest in Rubik Australia Holdings Pty Limited (TopCo) and a wholly owned subsidiary of TopCo, Rubik Australia Pty Limited (BidCo), has entered into the scheme implementation deed with Qube. As a result of the Acquisition, Qube will be de-listed from the Australian Stock Exchange.
Determination	The Australian Competition and Consumer Commission has determined under section 51ABZE(1) of the <i>Competition and Consumer Act 2010</i> (Cth) that the Acquisition may be put into effect.
Parties to the Acquisition	The Rubik Consortium is made up of three direct investors, UniSuper (20%), Pontegadea Shareholdings Luxembourg Sàrl (an entity indirectly owned by Pontegadea, holding 15% through a dedicated SPV), and the MAM Rubik Consortium Pty Limited as trustee for MAM Rubik Consortium Trust (MAM Box) (65%). Other investors that will hold interests in Qube through the MAM Box, as well as existing interests in logistics and infrastructure assets, include Temasek, GIC Private Limited (GIC), CalPERS and the National Pension Service of South Korea (NPS). The MAM Box is an investment vehicle that comprises a number of Macquarie managed funds and large superannuation, sovereign wealth, and global investment vehicles. MAM, through various MAM-managed funds, will have a controlling interest in the MAM Box, which will result in MAM having a controlling interest in Qube. MAM is the asset management arm of Macquarie Group Limited. MAM manages investments by clients in significant infrastructure assets in Australia (including airports, telecommunication assets, data centres and electricity distributors). MAM provides investment management services to the trustee of The Infrastructure Fund (TIF). TIF holds a 50% interest in the Port of Newcastle (PON). The other 50% stake is held by China Merchants Port Holdings Company Limited (CMPort). The target, Qube, is an integrated provider of import and export logistics services, operating more than 200 sites across Australia, New Zealand and Southeast Asia and employing ~10,000 people. Qube's service offering is underpinned by a network of assets including ports, terminals, rail, road and storage infrastructure. Qube's operations are organised into three divisions: Logistics & Infrastructure, Ports & Bulk, and a 50% interest in Patrick Terminals. Qube is a tenant and port user at PON. It supplies a range of services at PON in relation to bulk and general stevedoring services, rail haulage services and grain export terminal services (through Newcastle Agri Terminal (NAT)).

Reasons for determination	The reasons for the ACCC's determination are set out in section 2.
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2. Statement of reasons

- 2.1. When making a determination in Phase 1, the Australian Competition and Consumer Commission (**ACCC**) undertakes a competition assessment and considers whether it is appropriate for an acquisition to be approved or subject to further assessment in Phase 2 in accordance with section 51ABZJ of the *Competition and Consumer Act 2010* (Cth) (the **Act**). In doing so, the ACCC must have regard to the object of the Act and all relevant matters, including the interests of consumers.
- 2.2. For more information about the ACCC's approach to considering notified acquisitions, see the ACCC's [merger assessment guidelines](#) and [interim merger process guidelines](#).
- 2.3. For the reasons given below, the ACCC has determined that the Acquisition may be put into effect.

Relationship and overlap between the Parties

Vertical relationship between the Parties

- 2.4. There is a vertical relationship between Qube and PON.
- 2.5. MAM holds an investment management role at PON through its contract to provide investment management services to Gardior Pty Ltd (**Gardior**), the independent trustee of TIF, and the unitholders of TIF, which own a 50% interest in PON. The other 50% stake is held by CMPort. MAM's role as investment manager involves making recommendations about port operations to Gardior, the trustee of TIF.
- 2.6. Qube is one of several stevedore port users and tenants at PON. It uses common user berths to supply non-coal bulk and general stevedoring services and grain export terminal services¹:
 - **Bulk and general stevedoring services:** Qube principally supplies bulk commodity stevedoring from the common user berth at Kooragang 2 (**K2**) (referred to as the Newcastle Bulk Terminal). At K2, Qube leases land for a bulk storage shed used for fertiliser imports and holds a licence for the exclusive use of certain ancillary office buildings and amenities. As well as dry bulk stevedoring at K2, Qube also undertakes liquid bulk stevedoring of ammonium nitrate at the Mayfield precinct.
 - **Grain export terminal services:** Qube owns and operates the NAT, which is a bulk grain export terminal located at the Dyke 2 berth at Carrington at PON. While Dyke 2 is a common user berth, the NAT lease provides Qube with control over the relevant part of the Dyke 2 berth for the purpose of grain loading.

¹ Qube also provides above-rail haulage services at PON. The ACCC has found little if any operational overlap between PON and Qube in relation to rail path allocation or rail scheduling. This determination therefore focuses on those areas of supply where a vertical relationship exists between Qube and PON.

Overlap arising from co-investor interests

- 2.7. There are several other overlaps arising from the interests of minority co-investors in the Rubik Consortium and/or MAM Box. In some cases, these interests are in entities that compete with Qube in the supply of stevedoring or rail services, or supply inputs to Qube-related businesses.
- 2.8. UniSuper currently directly holds approximately 15-18% of the issued share capital of Qube, which will increase to a 20% direct stake in Qube post-completion. It also currently holds an approximate 11% passive interest in TIF, which equates to an approximate 6% look-through interest in PON. It is also a shareholder in Gardior, the trustee of TIF (however, UniSuper is not entitled to appoint a director to the board of Gardior). UniSuper holds small interests in Aurizon Holdings Ltd (**Aurizon**) (0.9%), GrainCorp Ltd (**GrainCorp**) (approximately 0.2%) and Hutchison Port Holdings Trust (approximately 0.004%). UniSuper's involvement in the Acquisition gives rise to a horizontal overlap with respect to grain export terminal services at PON and container stevedoring services at the Port of Brisbane, Port Botany and the Port of Melbourne.
- 2.9. Temasek will hold an indirect 12.5% look-through interest in Qube post-completion. It currently holds interests in Patrick Terminals (6.48% indirectly), BDP Asia Pacific (Australia) Pty Ltd (100% via PSA International Pte Ltd (**PSA**), which it fully owns), Hutchison Ports Holdings Limited (20% via PSA) and Pacific International Lines Pte (**PIL**) (32% indirectly via a fund managed by Heliconia Capital Management (**Heliconia**)). Those interests give rise to overlaps in container stevedoring and logistics, and a potential vertical relationship involving Patrick and PIL.
- 2.10. GIC will hold an indirect 6.59% look-through stake in Qube post-completion. It currently holds interests in Pacific National (12%) and LINX (11%), both of which operate at PON and overlap with Qube in rail haulage² and bulk and general stevedoring services, respectively.
- 2.11. CalPERS will hold an indirect 2.7% look-through interest in Qube post-completion via a MAM Controlled Sidecar investment vehicle. It currently holds an equity stake in the Port of Melbourne (9.95%) which is held via a separate account managed by Queensland Investment Corporation. Qube supplies stevedoring services at the Port of Melbourne.
- 2.12. NPS will hold an indirect 4.3% look-through interest in Qube post-completion via the MAM Box. It currently holds a 10% equity stake in the Port of Melbourne which is held via a Global Infrastructure Partners Australia feeder trust. As noted above, Qube has a stevedoring presence at the Port of Melbourne.

² As noted in paragraph 2.6, the ACCC has not examined in detail potential competition issues arising in relation to above-rail haulage services given the ACCC found little if any operational overlap between PON and Qube in relation to rail path allocation or rail scheduling.

Industry background

Port of Newcastle (PON)

Trade at PON

- 2.13. PON is the world's largest coal export port, handling approximately 40% of Australia's coal exports. In 2025, coal represented 95% of all export volumes at PON.³
- 2.14. PON is also a major shipping transport link for agricultural and mining industries located in Central and Northern NSW. It is comprised of a deep-water shipping channel of roughly 12 km and port side land, including 20 operational berths. Some berths are dedicated to the exclusive use of tenants (these are mostly the coal related berths), known as "tenant operated berths", while others are available for use by multiple parties on a common user basis ("common user berths").⁴
- 2.15. The types of cargo that are generally imported and exported at PON include bulk and break-bulk cargo (which are both non-containerised):
- **Bulk cargo:** comprises raw materials that are stored and transported loose in the hull of a vessel and are loaded or unloaded in loose large quantities. This includes dry bulk cargo (such as grain, fertilisers, mineral concentrates and coal) and liquid bulk cargo (such as crude oil).
 - **Break-bulk cargo:** refers to cargo that is transported in some form of alternative unit or packaging and includes **general and project cargo** that is transported individually. Examples of break-bulk cargo are large pieces of machinery, such as windfarm turbine blades.
- 2.16. Currently there is a very small number of general cargo containers that are processed at PON.⁵ PON has long term plans to develop an international container stevedoring terminal.⁶

Stevedoring at PON

- 2.17. The ACCC understands that historically, there have been 3 main stevedores active at PON and able to supply from the common user berths, being Qube, Newcastle Stevedores and LINX.
- 2.18. To supply stevedoring services at a common user berth at PON, a business must obtain a standard Master Stevedoring Licence Deed issued by PON. In addition to this licence, stevedores require access to some specialist labour and equipment. However, many of the resources needed to supply stevedoring services at PON (such as certain equipment and berthing space) are provided by PON, consistent with a stevedore's access terms and conditions at the Port.

³ See [Port of Newcastle sets new record for diversified trade volumes in 2025](#).

⁴ Gilbert + Tobin (on behalf of Acquirer), MAM led consortium notification submitted on 6 May 2026, Submission accompanying Long Form Notification, 6 May 2026, p 24.

⁵ See trade statistics published by PON on its website at [Facts and Figures](#).

⁶ See [Newcastle Deepwater Container Terminal - Port of Newcastle](#).

- 2.19. Stevedoring services at PON are typically tendered for on a multi-year basis. Shipping lines and/or cargo owners that transport cargo through PON contract stevedores to load/unload vessels at the Port. In practice, this means that a stevedore cannot elect which port to process cargo through – if it is contracted by a customer transporting cargo through PON, the stevedore must access PON's berths.
- 2.20. The ACCC understands that stevedores compete on both price and non-price aspects of the service. Cargo owners and shipping lines submitted that, when tendering for stevedoring services, they have regard to a stevedore's price, speed of loading/unloading vessels, historical safety records and presence at other ports (if the customer transports cargo through multiple ports).

Ownership of PON

- 2.21. PON is 50/50 owned by TIF and CMPort.
- 2.22. TIF is a wholesale investment fund with a portfolio of Australian assets. Gardior is the trustee of TIF. Responsibility for decision making in relation to TIF's investment in PON sits with the Gardior Board as trustee of TIF. MAM is TIF's investment manager.
- 2.23. CMPort is a global port developer, investor and operator, listed on the Hong Kong Stock Exchange. CMPort has a large ports network along coastal China, as well as Asia, Africa, America, Europe and the Mediterranean Sea. CMPort's only presence in Australia is through its current ownership of PON.
- 2.24. The Parties submit that neither TIF nor CMPort separately have full control over decisions of the PON Board. This is due to the ownership and governance arrangements at PON, including the rights afforded to each of TIF and CMPort.

Decision-making at PON

- 2.25. The Parties submit that PON's Management Team is independent of TIF (and MAM).
- 2.26. Information before the ACCC indicates that the PON Board deals with matters regarding the strategy, investment and business operations of PON. Consistent with this, decisions regarding Qube, or matters directly impacting Qube, rarely escalate to the PON Board. In general, negotiation of commercial issues such as stevedoring licences, lease renegotiations (other than very long-term or significant leases) and berth access are not issues typically considered or discussed at the PON Board level.
- 2.27. PON's Management Team is responsible for all day-to-day operations of the Port. It is not appointed by and does not comprise any employees of TIF or MAM. The CEO is appointed by the PON Board. PON's Management Team are incentivised to act in the best interests of the Port through executive Key Performance Indicators (**KPIs**) which are largely focused on profitability KPI targets and project delivery KPIs for pursuing key developments.

Competition assessment

- 2.28. The ACCC has considered the effects of the Acquisition by comparing the likely future state of competition if the Acquisition proceeds against the continuation of the current state of competition (being the likely future state of competition if the Acquisition does not proceed).

- 2.29. In reaching its decision, the ACCC has had regard to information provided by the parties and market participants, including users and tenants of PON as well as broader freight supply chain stakeholders, as well as publicly available information.

Relevant areas of competition

Bulk and general stevedoring services at PON

- 2.30. Qube performs bulk commodity stevedoring, principally undertaken at K2 (the Newcastle Bulk Terminal), at PON. Qube also undertakes stevedoring of ammonium nitrate at the Mayfield precinct. The Parties submit that Qube has not provided break-bulk stevedoring services at PON for at least the past 3 financial years.⁷
- 2.31. Common user berths are made available by PON for use by all three stevedores (Qube, Newcastle Stevedores, LINX) at the Newcastle Bulk Terminal. As noted above, stevedores are required to obtain a standard Master Stevedoring Licence Deed from PON to access and use these berths to provide stevedoring services to vessels docking at the K2 berth. Each of the stevedores is publicly identified in the PON's Newcastle Bulk Terminal Rules.⁸ The stevedores are also listed (and each of their websites are linked) on the PON's webpage about its Mayfield Multipurpose Terminal (at which break-bulk cargo, general cargo and project cargo are imported and exported).⁹

Grain export terminal services at PON

- 2.32. Grain is sold by farmers to grain traders, where it is received and stored in up-country storage sites around NSW. Grain is then transported, mostly by rail, to PON to be stored on site for a short period or loaded onto vessels for export. There are two bulk grain export terminals operating at PON, NAT (owned/operated by Qube) and GrainCorp.

Qube – NAT (Dyke 2 berth, Carrington Precinct)

- 2.33. Qube owns and operates up-country grain storage sites at Narromine, Narrabri and Coonamble, and supplies rail haulage in NSW.
- 2.34. The NAT provides storage and export services across grains, oilseeds and legumes. Although Dyke 2 berth is a common user berth, the NAT lease provides it with control over the relevant part of the berth for the purpose of grain loading.
- 2.35. NAT operates with a Port Terminal Services Agreement (**PTSA**) for 2025/2026 which outlines the allocation of Shipping Slots. This is published on NAT's website.¹⁰

⁷ Gilbert + Tobin (on behalf of Acquirer), MAM led consortium notification submitted on 6 May 2026. As a result, the ACCC has focused its competition assessment on bulk and general stevedoring services at PON.

⁸ Port of Newcastle, Newcastle Bulk Terminal, Terminal Rules and Information, page 8. See <https://pon.com.au/wp-content/uploads/2023/12/Port-of-Newcastle-Bulk-Terminal-Rules-December-2023.pdf>

⁹ See <https://pon.com.au/landside/berth-and-cargos/multipurpose-terminal/>

¹⁰ See <https://www.natterminal.com.au/forms>.

GrainCorp (West Basin 3 berth, Carrington Precinct)

- 2.36. The Parties submit that GrainCorp is the largest provider of up-country storage services and has the largest grain storage and handling network on the east coast of Australia.¹¹ GrainCorp has had a presence at PON for approximately 50 years. It currently operates at the Carrington site.¹²
- 2.37. Unlike Qube, GrainCorp owns the terminal land at Carrington (PON) under freehold title and does not pay rent to PON (whereas NAT operates under a lease agreement with PON and pays rent).¹³ GrainCorp has an agreement with PON to access the berth.

Vertical effects – foreclosure of rivals in the supply of bulk and general stevedoring services at PON

- 2.38. The ACCC considers that the Acquisition is unlikely to have the effect of substantially lessening competition in relation to the downstream supply of bulk and general stevedoring services at PON.
- 2.39. To reach this view, the ACCC considered MAM's ability and incentive to foreclose rivals of Qube that supply bulk and general stevedoring services at PON.
- 2.40. The ACCC concluded that a combination of limitations and constraints on MAM's ability and incentive to foreclose Qube's rivals means that the Acquisition is unlikely to substantially lessen competition.

The ACCC assessed a range of potential foreclosure conduct by MAM

- 2.41. The ACCC considered a range of potential conduct whereby MAM could either fully or partially foreclose Qube's rivals. Full foreclosure refers to MAM denying Qube's rivals access to PON. Partial foreclosure incorporates discrimination strategies targeted at reducing Qube's rivals' competitiveness by raising their costs or worsening their service quality.
- 2.42. PON, as the port owner and manager, has control over certain pricing and non-pricing terms of access to terminals and berths at PON. Access to PON's terminals and berthing space is an essential input for stevedores and stevedores do not have alternative sources of supply.

MAM's ability to control or influence PON to foreclose Qube's rivals

- 2.43. While MAM does not directly own the Port, the ACCC considered whether MAM, as investment manager to Gardior and TIF, could have the ability to influence and/or control decisions at PON to foreclose Qube's rivals.

¹¹ Gilbert + Tobin (on behalf of Acquirer), MAM led consortium notification submitted on 6 May 2026, Submission accompanying Long Form Notification, 6 May 2026.

¹² Based on confidential market feedback from third parties to the ACCC.

¹³ Gilbert + Tobin (on behalf of Acquirer), MAM led consortium notification submitted on 6 May 2026, Submission accompanying Long Form Notification, 6 May 2026, p 26.

- 2.44. In examining the potential for such conduct to occur, the ACCC had regard to the level of control and influence that MAM has over the PON Board and PON's Management Team.
- 2.45. Based on the information and documents before it, the ACCC considers that MAM would be likely to be legally constrained in its ability to influence the PON Board and/or PON's Management Team in a manner that could foreclose Qube's rivals.

MAM's ability to influence the PON Board

- 2.46. MAM neither holds nor manages a controlling ownership interest in PON, and the remaining 50% interest is held by CMPort, which based on information provided to the ACCC by the Parties and third parties, appears to be an active and independent co-owner capable of exercising countervailing control. Any influence MAM may seek to exercise at the PON Board level, through TIF-nominated directors, is constrained by the presence of CMPort who would be unlikely to have the incentive to agree to conduct designed to foreclose Qube's rivals. The ACCC typically places little weight on directors' duties constraining the potential for foreclosure strategies, particularly given foreclosure strategies can be subtle, indirect and difficult to detect, and therefore unlikely to raise directors' duty complaints. However, the ACCC does recognise that any influence MAM may seek to exercise at the PON Board level is further constrained to a limited degree by the duties each director owes to PON to act in its best interests and for a proper purpose,¹⁴ as well as by MAM's contractual duty to act in good faith in its role as investment manager for Gardior as trustee for TIF.

MAM's ability to influence PON's Management Team

- 2.47. Given MAM's lack of control at PON Board level, the ACCC focussed on assessing the potential for MAM to influence or direct PON's Management Team to engage in conduct that would foreclose Qube's rivals, including more subtle forms of discriminatory conduct, consistent with a partial foreclosure strategy.
- 2.48. The ACCC considered the potential for foreclosure at an operational level through a range of price and non-price levers, including:
- pricing frameworks. For example, while stevedore access fees are published publicly and applied equally to all stevedores, the ACCC has assessed whether discretionary or ad-hoc fees could be applied in a way that increases Qube's rivals' costs.
 - restricting or lowering the quality of Qube's rivals' access to berths and to other areas such as laydown areas provided by PON including in relation to:
 - allocation of unfavourable/delayed berthing windows
 - allocation/delays in access to equipment
 - allocation/delays in access to common user areas
 - scheduling of maintenance/outages when rivals are due to access the berth.

¹⁴ See sections 181-183 of the *Corporations Act 2001* (Cth).

- 2.49. The ACCC has also had regard to the possibility of self-preferential treatment, such as PON providing waivers and/or discounts of port charges to Qube as well as more subtle conduct such as arranging for preferential access for Qube to work berths ahead of its rivals.
- 2.50. The ACCC found that the majority of this conduct, if implemented, would likely be actioned by PON's Management Team, as opposed to the PON Board. Based on information from the Parties and third parties, day-to-day operational matters are managed by PON's Management Team rather than the PON Board.
- 2.51. The ACCC found there are likely to be legal and practical constraints on MAM's ability to influence PON's Management Team to engage in conduct that would foreclose rivals. Information provided to the ACCC indicates that PON's Management Team operates independently of the PON Board with respect to day-to-day operational matters and includes no MAM employees. Further, information provided to the ACCC indicates that interactions between PON Board members and PON's Management Team outside of regular Board meetings are managed.
- 2.52. In addition, as discussed at paragraph 2.46, there is likely to be a degree of constraint on any influence MAM may seek to exercise over PON's Management Team due to directors' duties to PON,¹⁵ as well as by its contractual duties for Gardior. The ACCC considers operational discrimination¹⁶ (particularly that which is repeated and sustained) in order to preference Qube and/or disadvantage Qube's rivals may undermine the Port's efficiency and/or profitability and therefore be unlikely to be in PON's interest.

MAM's incentive to foreclose Qube's rivals

- 2.53. The ACCC has also had regard to whether MAM would be likely to have an economic incentive to direct PON to engage in conduct that raises Qube's rivals' costs and/or lowers rivals' competitiveness.
- 2.54. In coming to a view, the ACCC considered incentive in terms of PON's economic incentives as well as MAM's own financial incentives. The ACCC considered the likely impact the foreclosure conduct would have on the profitability of Qube, PON and MAM.
- 2.55. The ACCC considers that economic incentives for MAM to direct PON to engage in foreclosure conduct would likely be weak and further mitigated where such conduct would be likely to impact on PON or MAM negatively.
- 2.56. Financial information provided by the Parties and third parties suggests that the additional profit that MAM could potentially generate from successfully foreclosing Qube's rivals in the supply of bulk and general stevedoring services is expected to be relatively insignificant. A contributing factor is that any financial benefit to MAM from conduct favouring Qube would be indirect and attenuated, as MAM would capture only a portion of any incremental profits earned by Qube (given MAM has a partial ownership interest in Qube).

¹⁵ See sections 181-183 of the *Corporations Act 2001* (Cth).

¹⁶ Where operational discrimination refers to decisions and actions made at the PON Management Team level to preference Qube, or disadvantage Qube's rivals.

- 2.57. Furthermore, there are costs and risks to MAM if it attempted to foreclose Qube's rivals. Specifically, foreclosure conduct could harm MAM's reputation as an investment manager if it does not act in PON's best interests, and consequently it could have the potential to jeopardise Macquarie's broader role as investment manager to TIF. In addition, to the extent any such strategy would require TIF nominee directors to support conduct contrary to PON's interests, those directors would be expected to face disincentives arising from their duties as directors.
- 2.58. Having regard to the combination of factors identified above, the ACCC considers that MAM would be unlikely to have the ability post-Acquisition to foreclose Qube's rivals in the supply of bulk and general stevedoring services at PON in any material way. Even if MAM did have some limited ability, its incentive to do so is likely to be weak.

The likely effect on competition of any foreclosure conduct

- 2.59. The ACCC has not fully investigated the competitive effect of any discriminatory conduct that MAM could implement. This is because the ACCC has concluded that MAM is not likely to have the ability and incentive to discriminate against Qube's rivals (as described above).
- 2.60. However, the ACCC observes that any discriminatory conduct would likely need to occur on a sustained, repeated and widespread basis in order to materially reduce rival's competitiveness relative to Qube and result in a substantial lessening of competition.
- 2.61. As discussed above, the scope of possible conduct that MAM could realistically implement is likely limited to strategies that do not reduce efficiency at the Port. The ACCC's view is that the competitive effect of such conduct is not likely to materially reduce Qube's rivals' competitiveness.

Vertical effects – foreclosure of rivals in the supply of grain export terminal services at PON

- 2.62. The ACCC considers that the Acquisition is unlikely to have the effect of substantially lessening competition in relation to the supply of grain export terminal services at PON.
- 2.63. To reach this view, the ACCC considered MAM's ability and incentive to foreclose Qube's only rival in the supply of grain export terminal services at PON (GrainCorp) in a way that would materially lessen GrainCorp's ability to compete for bulk (grains) export contracts or otherwise would materially impede GrainCorp from competing on its own merits.

MAM's ability to foreclose NAT's rival

- 2.64. In addition to the factors explained above in paragraphs 2.43 to 2.52 in relation to bulk and general stevedoring services, the ACCC considers that MAM's ability to direct or influence PON to engage in foreclosure conduct is likely to be further constrained by GrainCorp's commercial arrangements at PON. GrainCorp owns some of the infrastructure required to supply grain export terminal services at PON, rather than leasing such assets from PON.

- 2.65. Because GrainCorp owns the land on which it operates, and some of the infrastructure required, the ACCC considers PON has limited scope to materially increase GrainCorp's input costs.
- 2.66. Furthermore, the ACCC understands that a significant component of GrainCorp's throughput through the Carrington terminal at PON relates to its own grain. This suggests that the prospect of significant volumes diverting to Qube in response to a partial foreclosure strategy (resulting in potential price rises and/or lower service quality at GrainCorp's facility) would be low.

MAM's incentive to foreclose NAT's rival

- 2.67. Further, the ACCC considers the economic incentive for MAM to direct or influence PON to engage in conduct that reduces GrainCorp's competitiveness is likely to be weak. This reflects GrainCorp having a relatively low contestable volume of grain and holding the largest share of up-country grain storage on the east coast of Australia.¹⁷ Taking this into account and based on information provided by the Parties, the ACCC estimated the additional profits that MAM could earn from a foreclosure strategy in grain export terminal services to be relatively low.
- 2.68. Having regard to the combination of factors identified above, the ACCC considers that MAM would be unlikely to have the ability post-Acquisition to foreclose Qube's rival in the supply of grain export terminal services at PON in any material way. Even if MAM did have some limited ability, its incentive to do so would likely be weak.

Reduced competition in stevedoring services and/or grain export terminal services arising from the misuse of commercially sensitive information

- 2.69. The ACCC considers that the Acquisition is unlikely to have the effect of substantially lessening competition in relation to the supply of bulk and general stevedoring services and/or the supply of grain export terminal services at PON through misuse of commercially sensitive information about Qube's rivals by MAM. This is because the ACCC considers MAM would be unlikely to have the ability and/or incentive to access and use any commercially sensitive information supplied by rival stevedores or grain export terminal service providers (such as prices or volumes) to PON in a way that would substantially lessen the competitiveness of Qube's rivals.
- 2.70. In reaching this view, the ACCC considered:
- MAM's ability to access and use/disclose confidential information
 - the nature of information about Qube's rivals being accessible by PON and used by MAM
 - the likely competitive harm to Qube's rivals of MAM/Qube having access to this information.

¹⁷ See <https://grains.graincorp.com.au>.

MAM's ability to access and use/disclose confidential information

- 2.71. Information presented to the ACCC indicates that there are information sharing restrictions on PON in relation to parties that receive confidential information whereby parties must not use the relevant information except for the purpose of exercising its rights or performing its obligations.
- 2.72. The ACCC considers that any access or disclosure of commercially sensitive information by MAM, gained in its role as investment manager to TIF or through TIF-nominee directors, would be contrary to its legal obligations to act in TIF's best interests and for a proper purpose and the directors' duties to PON.
- 2.73. In the ACCC's view, these legal obligations mitigate MAM's ability and incentive to access and disclose any commercially sensitive information to Qube's rivals for an improper purpose.

Nature of information about Qube's rivals being accessible by PON and likely competitive harm

- 2.74. The ACCC considers that the commercially sensitive information would generally need to be quite specific to individual stevedores and terminal service operators and not otherwise easily observable or obtainable. The information, if shared, would also need to result in existing competitors exiting PON or dissuading them from investing in improving their operations or their costs, significantly increasing to a level where they cannot constrain Qube's pricing and/or offering. Higher-level information about rivals' customers and volumes is unlikely to be materially competitively significant, as such information is expected to be commonly available and/or readily observable.

Incentives for MAM to share commercially sensitive information

- 2.75. Notwithstanding the ACCC's views about MAM being constrained in its ability to share commercially sensitive information of Qube's rivals, the ACCC also examined the extent to which MAM would be incentivised to pass on commercially sensitive information to Qube or use it in a way that benefits Qube.
- 2.76. As set out in paragraphs 2.55 to 2.58 and 2.67, the ACCC considers that future potential additional profits available to MAM from foreclosure in bulk and general stevedoring services and/or grain export terminal services are expected to be relatively low. This suggests that MAM's incentives to engage in foreclosure strategies through a misuse of commercially sensitive information would be weak. As such, the ACCC considers a substantial lessening of competition is unlikely.

Other competition considerations

Minor co-investor interests

- 2.77. As part of its review, the ACCC considered potential competition issues arising from the interests of other co-investors to the Acquisition (i.e. UniSuper, Temasek, GIC, CalPERS and NPS). In each case, post-Acquisition, the co-investor will only hold a minor look-through interest in Qube, while also participating in other sectors in which Qube's rivals operate. The ACCC examined the nature and extent of each co-

investor's interests and their relative presence in those sectors and did not identify any material competition concerns arising as a result of the Acquisition.

Other issues

- 2.78. Market feedback received by the ACCC raised concerns that Qube, with MAM's controlling interest, could have the ability and incentive to restrict and/or frustrate third party access to port rail and terminals currently owned by Qube in NSW, such as its import/export (**IMEX**) terminals at Moorebank and Patrick's container stevedoring terminal at Port Botany, such that Qube could preference its own trains and/or discriminate against rivals. The concerns raised related to potential conduct by Qube post-Acquisition which could impact the competitiveness of rival above-rail operators and exporters of containerised agricultural products that rely on access to overseas markets via Port Botany.
- 2.79. The ACCC examined these concerns in detail and considers that the Acquisition is unlikely to materially impact these concerns. The Acquisition does not appear to be causally connected to any ability and/or incentive of Qube's to foreclose rivals in relation to rail haulage or agricultural export markets at Port Botany. The ACCC considers that the Acquisition would be unlikely to materially increase Qube's vertical integration in the Port Botany agricultural supply chain or materially change Qube's economic incentives to impede throughput access to its terminals.

3. Applications for review

- 3.1. A notifying party, or other person who has been allowed to do so by the Australian Competition Tribunal, may apply for review if they are dissatisfied with the determination. Pursuant to section 100C of the Act, applications for review of the determination are to be made to the Australian Competition Tribunal before the end of 14 calendar days after this statement of reasons was included on the ACCC's Acquisitions Register. To confirm whether there has been any application for review, please contact the Australian Competition Tribunal.

Determination made by a division of the Commission constituted by a direction issued pursuant to section 19 of the Act